

## **SECTION A – CASE QUESTIONS** (Total: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation/ calculation and appropriate presentation of the answers.

### **CASE**

#### Champion Group

##### *Before group restructuring*

Champion Group is a US-based trader of health care and pharmaceutical products. Champion Inc, a company incorporated in the US and listed on the New York Stock Exchange, set up a branch in Hong Kong to trade a health product that protects against infection from influenza, called Influ-Proof. Influ-Proof is supplied by unrelated overseas suppliers and traded mainly to customers in the Mainland.

##### *After group restructuring*

After a series of restructuring, Champion Inc set up Champion (Services) Limited ("Champion Services") in Hong Kong during the year ended 31 December 2018. Champion Services provides corporate services to Champion Inc to conduct re-invoicing activities in Hong Kong. Employees of Champion Inc travel to the factories of suppliers outside Hong Kong to negotiate the terms of purchase transactions with those suppliers. When an agreement is reached, employees of Champion Inc will tell the factory that the transaction will be conducted through Champion Services. Upon returning to the US, employees of Champion Inc will send a purchase order to Champion Services offering to buy the goods such that a profit is "booked" in the books of Champion Services. Champion Services has no offices or employees of its own. On behalf of Champion Services, Janice Wong ("Janice"), the General Manager of Champion Inc, will follow instructions from the employees of Champion Inc to automatically accept the purchase order issued by Champion Inc, and issue a purchase order on behalf of Champion Services to the supplier outside Hong Kong to buy the goods for the originally agreed price.

The financial statements of Champion Services showed, amongst others, the following information:

| Profits and loss account for the year end | 31 December 2019      | 31 December 2020      |
|-------------------------------------------|-----------------------|-----------------------|
|                                           | <u>HK\$ (million)</u> | <u>HK\$ (million)</u> |
| Sales                                     | 100                   | 380                   |
| Cost of sales                             | 50                    | 100                   |
| Gross Profits                             | 50                    | 280                   |
| Investment income                         | 50                    | 50                    |
| Balance sheet as at                       | 31 December 2019      | 31 December 2020      |
|                                           | <u>HK\$ (million)</u> | <u>HK\$ (million)</u> |
| Total assets                              | 250                   | 350                   |

The notes to the financial statements of Champion Services disclosed the following controlled transactions:

| For the year ended                          | 31 December 2019<br>HK\$ (million) | 31 December 2020<br>HK\$ (million) |
|---------------------------------------------|------------------------------------|------------------------------------|
| Transfer of properties                      | NIL                                | NIL                                |
| Transactions in respect of financial assets | NIL                                | NIL                                |
| Transfers of intangibles                    | NIL                                | NIL                                |
| Other transactions                          | 10                                 | 30                                 |

#### Janice Wong

Janice is a citizen of the US and has been employed by the Champion Group for 30 years. She currently maintains an employment contract with Champion Inc which was negotiated and concluded in the US. She was asked to work in Hong Kong at Champion Services for two years effective from 1 January 2019. She will return to the Champion Group in the US after the secondment.

Janice is responsible for the overall control and management of Champion Services in Hong Kong. She stayed in Hong Kong during the following periods for the year 2019/20.

| <u>Year 2019</u> |         | <u>Year 2020</u> |         |
|------------------|---------|------------------|---------|
| April            | 1 to 16 | March            | 1 to 18 |
| July             | 1 to 19 |                  |         |
| October          | 1 to 13 |                  |         |

Champion Inc operated a share incentive plan ("the Plan") whereby conditional awards might be made to employees of the Champion Group. The shares would only be vested on the grantee should he/ she remain an employee of the Champion Group on the date of vesting. The shares will be held by the nominees until they are vested on the grantee.

Janice was awarded at NIL cost under the Plan the following shares:

| <u>Award date</u> | <u>No. of shares awarded</u> | <u>Tranche</u>  | <u>No. of shares released</u> | <u>Released date</u> |
|-------------------|------------------------------|-----------------|-------------------------------|----------------------|
| 1 April 2018      | 20,000                       | 1 <sup>st</sup> | 10,000                        | 31 March 2019        |
|                   |                              | 2 <sup>nd</sup> | 10,000                        | 31 March 2020        |

The market price of Champion Inc in Hong Kong dollar equivalent on the relevant dates is as follows:

|               |       |
|---------------|-------|
| 1 April 2018  | \$100 |
| 31 March 2019 | \$120 |
| 31 March 2020 | \$150 |

Champion Inc declared a dividend per share of US\$ 1 (i.e. 7.8 Hong Kong dollar equivalent) on 31 December 2018 and 31 December 2019 respectively.

Janice is divorced. She is solely responsible for maintaining her 16-year-old son. She received salary and discretionary bonus in the amount of HK\$3,000,000 and HK\$2,000,000, respectively, in the year 2019/20. When she travelled to Hong Kong, she lived in a serviced apartment in Kowloon. All the expenses related to the serviced apartment were borne by Champion Services. Champion Services also reimbursed all the dining and travelling expenses incurred by Janice in Hong Kong. The amount that was reimbursed to Janice in the year 2019/20 was HK\$200,000.

**Question 1** (14 marks – approximately 25 minutes)

- (a) Evaluate the potential profits tax liabilities of Champion Inc in respect of the profits made from the sale of Influenza-Proof by the branch in Hong Kong and advise on any additional information required to facilitate your analysis. (7 marks)
- (b) Advise whether the profits from re-invoicing activities conducted by Champion Services will be subject to profits tax. (7 marks)

**Question 2** (15 marks – approximately 27 minutes)

- (a) Advise with reference to relevant provisions of the Inland Revenue Ordinance ("IRO") whether Champion Services needs to prepare a master file and local file for the years ended 31 December 2019 and 2020. (10 marks)
- (b) Advise with reference to relevant provisions of the IRO on :
- (i) The time that Champion Services has to prepare and submit a master file and local file if it has to do so.
  - (ii) The penalties for non-compliance.
- (5 marks)

**Question 3** (8 marks – approximately 14 minutes)

Advise on the source of Janice's employment income for the year ended 31 March 2020 and any exemption that may be available to Janice.

(8 marks)

**Question 4** (13 marks – approximately 24 minutes)

Compute the salaries tax liability of Janice for the year of assessment 2019/20 (ignore provisional tax) with explanatory notes on your treatment of the following items:

- (i) Shares awarded under the Plan.
- (ii) Reimbursement of dining and travelling expenses.

(13 marks)

\* \* \* \* \*

End of Section A

## **SECTION B – ESSAY / SHORT QUESTIONS** (Total: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation/ calculation and appropriate presentation of the answers.

### **Question 5** (15 marks – approximately 27 minutes)

Varian Limited ("VL") is a company incorporated and carrying on property holding and investment businesses in Hong Kong. In prior years, VL demolished one of its shabby industrial buildings in San Po Kong, Hong Kong and redeveloped the site into a modern factory building. The redevelopment project was completed last year and, with the launching of letting promotion, tenants in various business sectors (including but not limited to printing factories, food processing, warehouses, retail outlets, etc.) have been secured and have moved into the building gradually for business operations. It is estimated that about 70% of the building's units have been leased out and used by the tenants in the latest accounting year of VL. VL will treat the rental income from letting of the building's units as subject to profits tax.

In view of the complexity in preparing the profits tax computation, the accounting department of VL has appointed a reputable tax consulting firm named SK & Co to provide profits tax computation services.

#### **Required:**

- (a) In the context of computing statutory depreciation allowance of VL attributable to the abovesaid redeveloped factory building in San Po Kong:
- (i) Explain, with reference to relevant provisions of the IRO, how VL should ascertain the industrial building allowance and commercial building allowance.  
(5 marks)
  - (ii) Advise VL on what actions it should take to support the computation of the allowance(s).  
(5 marks)
- (b) Describe the ethical considerations SK & Co should be aware of in the course of providing profits tax computation services to VL.  
(5 marks)

**Question 6 (23 marks – approximately 41 minutes)**

Mr Lam (a Hong Kong permanent resident) and Mrs Lam (a national of the People's Republic of China ("PRC")) are a married couple ordinarily residing in Hong Kong and Mainland China, respectively, and occasionally travel across the border for family gatherings. Both of them own immovable properties in Hong Kong (a residential property in Tsuen Wan owned by Mr Lam and a shop premises in Kwun Tong owned by Mrs Lam) and in the Mainland (a residential property in Shenzhen owned by Mr Lam and another residential property in Zhuhai owned by Mrs Lam) for rental purposes.

The tenancy details of the abovesaid Hong Kong properties are as follows:

|    |                         | <b>Residential property in Tsuen Wan</b>                                  | <b>Shop premises in Kwun Tong</b>                                          |
|----|-------------------------|---------------------------------------------------------------------------|----------------------------------------------------------------------------|
| 1. | Term of lease           | 2 years from<br>1 March 2019                                              | 4 years from<br>1 December 2018                                            |
| 2. | Monthly rent            | HK\$35,000 payable in advance on the first day of each month              | HK\$48,000 payable in advance on the first day of each month               |
| 3. | Rent free period        | 1 month from<br>1 March 2019                                              | ½ month from<br>1 December 2018                                            |
| 4. | Premium                 | N/A                                                                       | HK\$72,000 payable on<br>1 December 2018                                   |
| 5. | Refundable deposit      | HK\$70,000 payable on<br>1 March 2019                                     | HK\$96,000 payable on<br>1 December 2018                                   |
| 6. | Rates                   | HK\$2,500 per quarter (after Rates concession, if any), payable by Mr Lam | HK\$6,000 per quarter (after Rates concession, if any), payable by Mrs Lam |
| 7. | Property management fee | HK\$2,300 per month, payable by Mr Lam                                    | HK\$3,200 per month, payable by the tenant                                 |

It is also noted that the couple had not applied for personal assessment for all relevant years of assessment.

**Required:**

- (a) Calculate the Hong Kong property tax liabilities of Mr Lam and Mrs Lam for the year of assessment 2019/20. (7 marks)
- (b) Without considering the implications arising from any double taxation arrangement, discuss the PRC tax exposure of Mr Lam and Mrs Lam, respectively. (5 marks)
- (c) Mr and Mrs Lam have engaged you as tax advisor. In the context of the Arrangement between the Mainland of China and the Hong Kong Special Administrative Region for the Avoidance of Double Taxation and the Prevention of Fiscal Evasion with respect to Taxes on Income, prepare a letter to them to explain and analyse:
- (i) The applicable Hong Kong and PRC tax exposure; and
- (ii) Reliefs, if any, available to Mr Lam and Mrs Lam, respectively

with respect to each of their immovable properties located in Hong Kong and the Mainland (computation of tax liabilities is not required).

Note: A maximum of 2 marks for communication skill and 2 marks for analytical skill will be awarded.

(11 marks)

**Question 7** (12 marks – approximately 22 minutes)

Discuss whether stamp duty is payable in the following circumstances (discussion on Special Stamp Duty and Buyer's Stamp Duty is not required; calculation of the stamp duty liability, if applicable, is required):

- (a) Mr Poon is the sole shareholder of A Limited, whilst A Limited is the 100% shareholder of B Limited and C Limited. It is also noted that C Limited currently holds 80% shares of D Limited, whilst the remaining 20% shareholding of D Limited is directly held by Mr Poon. Recently, it is resolved that a portfolio of securities listed on the Hong Kong Stock Exchange currently held by D Limited with a market value of HK\$15 million will be transferred to B Limited for cash consideration at current market value. (4 marks)
- (b) Mr Lam will get married to Ms Yeung next month. As a wedding gift, Mr Lam will transfer a residential property in Hong Kong (owned by Mr Lam for more than 10 years with a current market value of HK\$9 million) to Ms Yeung at nil consideration. Both of them are Hong Kong permanent residents and Ms Yeung does not have any residential property in Hong Kong at the present time. (3 marks)



- (c) Mr Cheung's mother, Madam Yu, passed away last month. According to the will prepared by Madam Yu, a shop premises in Hong Kong owned by her at the market value of HK\$20 million would be inherited to Mr Cheung upon the execution of the relevant estate administered by a lawyer.  
(2 marks)
- (d) Ms Hung will transfer the entire shares of H Limited, a Hong Kong incorporated company, to her son, Mr Wong, at nil consideration as a gift in recognition of his graduation with first-class honours in accounting. H Limited does not have any assets or liabilities except for an immovable property in Japan with a current market value of HK\$6 million.  
(3 marks)

\* \* \* END OF EXAMINATION PAPER \* \* \*